

Robinhood Markets, Inc.

HOOD NASDAQ

Buy	\$113.99 ▼ 1.12%	12M Price Target \$140.00	52-Week Range \$63.52 – \$153.86	Market Cap \$102.49B
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HOOD: Investment Bank Ambitions Meet Prediction Market Push

WHAT HAPPENED

- HOOD is down ~9% in a week, but the news is actually GOOD — Vlad Tenev is publicly declaring Robinhood wants to be a disruptive investment bank (they just won the Oura IPO underwriting mandate), and they inked a prediction markets partnership with Crypto.com. So why the pullback? Volume is drying up (today's volume was less than half of Monday's) — this looks like profit-taking after a big run, not fundamental deterioration. The stock is still up massively from the 52-week low of \$63.
- Cathie Wood keeps buying the dip — that's a sentiment signal (means: a well-known growth investor is signaling conviction), and the options market agrees: call buying is more than 2x put buying, which is a bullish tilt.

WHY IT MATTERS

Here's what this really means: Robinhood is quietly transforming from a retail trading app into a diversified financial platform, and the market hasn't fully repriced that yet. The Oura IPO win is a big deal — it says traditional investment banks (Goldman, Morgan Stanley) now have a legitimate competitor for tech IPO underwriting, and HOOD gets fat fees plus distribution to its 25M+ retail users. The prediction markets deal with Crypto.com is the sleeper story — prediction markets (think Kalshi, Polymarket) are exploding under a friendlier CFTC, and HOOD is positioning to be the retail on-ramp. This pullback is likely a healthy digestion after the stock more than doubled off its lows, not a change in thesis.

POLICY & POLITICAL WATCH

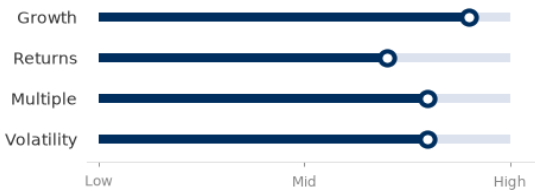
The regulatory backdrop for HOOD is the best it's been in years. The current administration has been openly crypto-friendly — the CLARITY Act and stablecoin framework legislation moving through Congress would give crypto exchanges (which HOOD now is) legal certainty, and that's a direct tailwind for their crypto trading revenue. Prediction markets are also getting a green light from a more permissive CFTC, which is why HOOD is aggressively moving into that space. The one thing to watch: the SEC's stance on "stock tokens" (tokenized equities) — AMC's CEO publicly criticized them this week, and if regulators side with legacy issuers, that particular product line gets choked.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$113.99
12M Price Target	\$140.00
Upside / (Downside)	+22.8%
Market Cap	\$102.49B
FY2026E Revenue	\$4,200M
FY2027E Revenue	\$5,300M
FY2026E EPS	\$1.85
FY2027E EPS	\$2.45
Fwd P/E	61.6x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$130.00	\$118.00	\$105.00
6 Months	\$160.00	\$135.00	\$95.00
1 Year	\$185.00	\$140.00	\$85.00
2 Years	\$240.00	\$175.00	\$75.00
5 Years	\$350.00	\$220.00	\$60.00
10 Years	\$600.00	\$350.00	\$50.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Crypto and fintech disruptors — the regulatory tone from Washington has shifted dramatically pro-innovation, and money is chasing platforms that can monetize this shift (HOOD, COIN, and prediction market plays).

COOLING OFF: Legacy financials are lagging (Financials ETF down 1.4% on the week) — the market senses that fintechs are eating their lunch on trading, IPOs, and now potentially banking.

ROTATION WATCH: Money is quietly rotating out of legacy brokers (SoFi is down 40% — mentioned in the news feed) and into HOOD as the "winner-takes-most" play in retail finance. That's a direct tailwind.

RELATED PLAY: If HOOD's investment bank ambitions play out, the exchanges (ICE, NDAQ) and prediction market platforms benefit too. COIN is the obvious sibling trade — same regulatory tailwind, different product mix.

WHO'S WINNING IN THIS SPACE?

- COIN (Coinbase): Riding the same crypto-friendly regulatory wave — stablecoin legislation is a direct catalyst.
- IBKR (Interactive Brokers): Benefiting from retail trading volumes staying elevated, though it doesn't have HOOD's crypto exposure.

HOOD CONTEXT: HOOD is leading the fintech peer group over the past year but taking a breather this week. The pullback is orderly and on light volume — that tells me it's consolidation, not distribution (meaning: big holders aren't dumping). If it holds \$110, the next leg is likely up.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — Cautiously bullish. The business transformation is real and the policy tailwinds are strong, but the valuation demands execution.

POSITION SIZE: 3-5% of portfolio — big enough to matter, small enough that a 30% drawdown doesn't ruin your year.

ENTRY POINTS: I'd add on pullbacks to \$105-110. If it breaks \$100, that's a gift unless the crypto tape has cracked.

TIME HORIZON: 12-24 months. The catalysts I'm waiting for: CLARITY Act passage, 2-3 more IPO mandates, and prediction markets revenue actually showing up in the P&L.

WHEN TO BAIL: If crypto trading revenue drops >25% quarter-over-quarter, or if a major regulatory reversal hits tokenized stocks/prediction markets, I'm out.

HEDGING: Simplest hedge — trim 25% of your position if the stock rips to \$150+ without new fundamental news. If you want a real hedge, buy some downside puts (contracts that pay off if the stock falls) for peace of mind through earnings.